DESIGN PROTOTYPE — SAMPLE EDITION

The organisations, people, quotes and figures in this edition are fictional and are not current news.

over **coffee.**

Fri 2 Oct

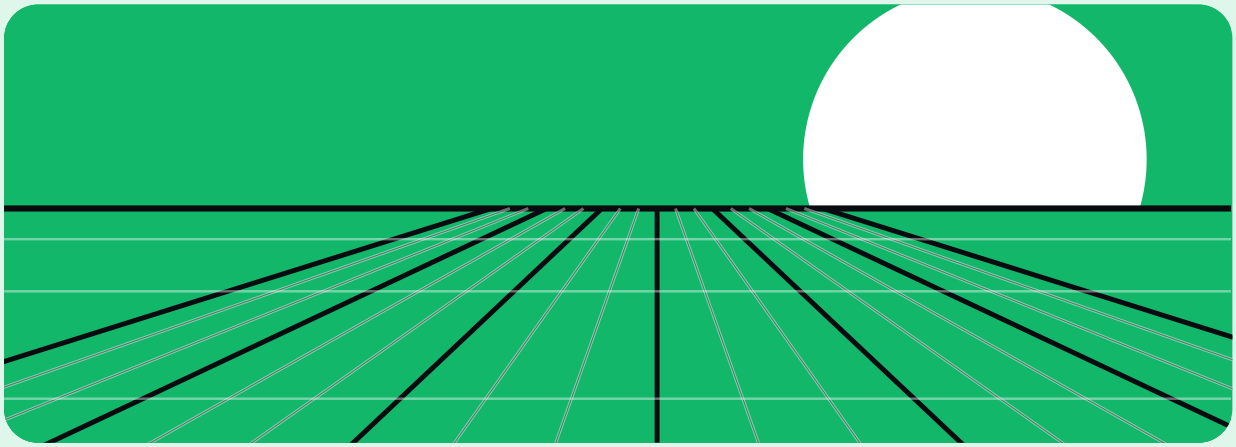
Morning.
Here's the tea.

Eight things happened. About 5 minutes to catch up.

AI · Food · Farming

The quick version

1. A dry September cut the wheat harvest forecast by 7%.
2. An AI weather model beat the usual one 10 days out. Early days, not peer reviewed yet.
3. A self-driving tractor was approved to work with nobody on site.
4. Kestrel cut its AI prices by 60% and dropped a mini model anyone can use.
5. Draft rules would make the biggest AI models pass an outside audit before launch.
6. AI chips now take 9 weeks to get, down from 26.
7. More firms use AI, but only 9% say it saves them money.
8. Cocoa is down 18%. Do not expect cheaper chocolate before spring.



01 FARMING ● Confirmed

The big one today

A dry September cut the wheat harvest forecast by 7%

Bakers say it could reach your bread. Slowly.

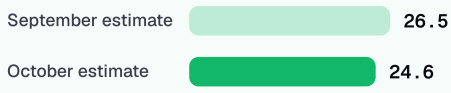
Short version: Dry month. Smaller harvest. Pricier wheat. Bread later, maybe.

The National Grain Council now expects 7% less wheat this season. That is 24.6 million tonnes, down from 26.5. Why? September brought just 38% of its usual rain.

Markets noticed fast. Wheat futures jumped 4.2% to a four-month high. On farms, some growers are using less fertiliser on fields that are unlikely to hit their targets anyway.

Will bread cost more? Maybe, but slowly. The Bakers' Federation says flour is only about 20% of a loaf's price. So any rise would creep in, not crash in.

WHEAT PRODUCTION FORECAST, MILLION TONNES



Source: National Grain Council

Why you should care

Less wheat squeezes flour mills, animal feed and exports all at once. For farmers, every decision right now is a bet on rain.

> **"Every input decision is now a bet on rain."**
>
> Pieter van Wyk, Grower · via Field & Furrow

DID YOU KNOW?

Flour is roughly 20% of the price of a standard loaf. The rest is labour, energy, packaging and margin.

Tell me more overcoffee.app/s/preview-multi-10/st-farm-wheat-forecast?m=s

02 FARMING ○ Emerging · not peer reviewed

Science corner

An AI weather model beat the usual one at 10 days. Early days, though

Ten days out, it won most of the time. Farmers are paying attention.

Short version: Promising. But not peer reviewed yet.

Researchers built an AI weather model. It is from the Northern Meteorological Service and Aster Systems. Over two years of testing, it beat the best regular model on 87% of the things they measured, 10 days ahead.

Big catch. The study has not been peer reviewed, so treat it as early. The weather service will run the AI next to its usual model from November. Official forecasts will not change for now.

The bit that matters

Agronomists say a reliable ten-day window would change when growers plant, spray and harvest. It is the gap between guessing and planning when to plant, spray or harvest.

> **"Ten days is the difference between guessing and planning."**
>
> Thandi Mokoena, Agronomist · via Field & Furrow

Tell me more `overcoffee.app/s/preview-multi-10/st-ai-weather-model?m=s`

03 FARMING ● Confirmed

Look, no driver

A driverless tractor just got the legal green light

One person can watch up to four of them from far away.

Short version: Self-driving tractors get the green light.

Regulators have approved the Fieldwright AT-7 to work fields with nobody on board. It has to stay inside a digital fence. And someone has to watch it remotely, up to four machines at a time.

Fieldwright says deliveries start in March 2027, as a subscription. Why the interest? Contractors say they cannot find enough drivers for night shifts.

Here's the thing

This is the step that turns a cool robot demo into a real way to run a farm.

> **"We can't find drivers for night shifts."**
>
> Ruth Adeyemi, Agricultural contractor · via Field & Furrow

Tell me more `overcoffee.app/s/preview-multi-10/st-farm-autonomous-tractor?m=s`

04 AI ● Confirmed

Okay, this one is big

Kestrel just cut its AI prices by 60%

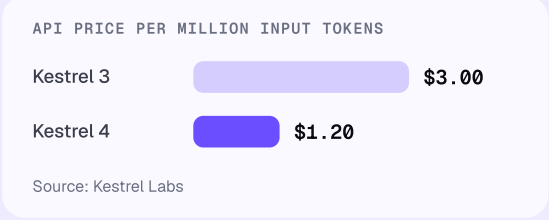
Then it gave away a mini version. Two rival labs were asked about it. Both declined to comment.

Short version: Way cheaper. A bit smarter. Plus a mini version anyone can grab.

Okay, so. Kestrel Labs just launched Kestrel 4. The big news is the price. It now costs $1.20 for every million tokens. It used to be $3.00. That is 60% less.

Now the twist. Kestrel also released a smaller model called Kestrel 4 Mini. Anyone can download it. The licence even lets you use it for business. Reviewers got it running on a single 48GB graphics card.

Kestrel says the new model gets 71% of its coding tests right, up from 54%. Small catch. That is Kestrel's own test. Nobody has independently tested it yet.



So what?

Cheaper AI means more companies can afford it. Analysts say rivals may have to cut their prices too, maybe within weeks. Watch this space!

"Capability is no longer the bottleneck. Cost and reliability are."

Ilse Moreau, Chief executive, Kestrel Labs · via Meridian Wire

DID YOU KNOW?

A token is about three-quarters of a word. So a million tokens is around 750,000 words.

Tell me more overcoffee.app/s/preview-multi-10/st-ai-kestrel-4?m=s

05 AI ● Confirmed

Rules are coming

Regulators want big AI models checked before they launch

Industry groups say the idea is fair. The fine print? Not so much.

Short version: Outside checks before big AI launches. The details are still being argued over.

A new draft rulebook says the most powerful AI models need an outside audit before launch. The company would also have to publish a summary of what the audit found. It comes from the Atlantic Digital Standards Board.

People have until 15 December to respond. The plan is for the rules to start on 1 July 2027. Industry groups say it is still not clear which models count.

Why it's a big deal

This would make outside checks a must. But who does them? The Auditing Standards Forum says fewer than 10 organisations can do audits like this right now.

"The intent is reasonable; the threshold is not yet workable."

Marta Lindqvist, Open Compute Alliance · via Northgate Times

Tell me more overcoffee.app/s/preview-multi-10/st-ai-audit-code?m=s

06 AI ● Confirmed

Supply chain tea

Varda says its AI chip wait is down to 9 weeks

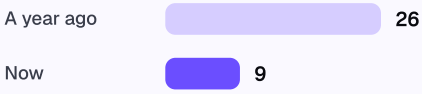
A year ago you waited half a year. Now it is about nine weeks.

Short version: Chips are easier to get. Good news if you are not a tech giant.

Remember when nobody could get AI chips? Varda Semiconductor says that is over. Its AI chips now arrive in 9 weeks. A year ago, it took 26.

Business is booming too. Varda says its data-centre sales jumped 41% to $8.4bn. Its shares rose 6% after hours, Meridian Wire reported.

LEAD TIME FOR V-SERIES ACCELERATORS, WEEKS



Source: Varda Semiconductor

Why you should care

For two years, getting chips decided who could play in AI. Shorter waits could help smaller companies catch up, analysts say.

> **“The shortage phase is behind us.”**
>
> Priya Raman, Chief financial officer, Varda Semiconductor · via Meridian Wire

Tell me more `overcoffee.app/s/preview-multi-10/st-ai-chip-lead-times?m=s`

07 AI ● Confirmed

Reality check

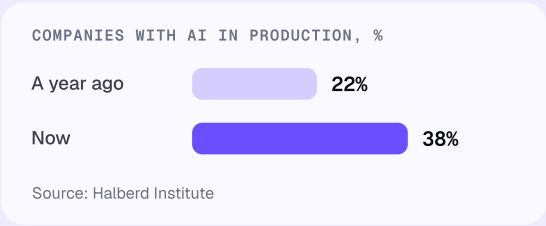
Lots of companies use AI. Hardly any can prove it saves money

38% have it running. Only 9% can show savings.

Short version: AI use is up. Proof it is worth it? Not so much.

The Halberd Institute asked 1,200 companies about AI. Here is what they said. 38% now have at least one AI system running for real. A year ago it was 22%.

Now the awkward part. Only 9% say they see real savings across the company. The biggest problem is messy data (61%). Cost comes next (47%). Remember, these are the companies’ own answers.



The bit that matters

Everyone is trying AI. The next question the boss will ask is simple. Is it paying off?

Tell me more `overcoffee.app/s/preview-multi-10/st-ai-enterprise-survey?m=s`

08 FOOD ● Reported

Sweet-ish news

Cocoa got cheaper. Your chocolate will not. Not yet.

Cocoa fell 18% in a month. Shelves are slow to catch up.

Short version: Cheaper cocoa now. Cheaper chocolate… eventually.

Cocoa prices fell 18% this month, Meridian Wire reports. A bigger harvest is on the way in West Africa. The International Cocoa Producers’ Forum now puts the world crop at 5.1 million tonnes. That is up 9%.

So why is chocolate not cheaper? Makers buy cocoa months ahead. So price drops take six to nine months to reach the shelf. And cocoa still costs about twice what it did in 2022.

Here’s the thing

Chocolate makers get the relief first. You get it later.

> **“Don’t expect cheaper chocolate this Christmas.”**
>
> Ana Ruiz, Commodities analyst, Corlett & Pine · via The Ledger

Tell me more `overcoffee.app/s/preview-multi-10/st-food-cocoa?m=s`

Three questions *over coffee*

Were you paying attention? It's all in today's edition.

1. How much of its usual rainfall did September bring?

A 38% · B 75% · C 110%

2. On what share of variables did the AI weather model come out ahead?

A Half · B 87% · C All of them

3. How much did Kestrel Labs cut its API price?

A 20% · B 60% · C 90%

Answers: 1A · 2B · 3B

IF YOU REMEMBER *one thing…*

A farm story today becomes a food-price story later. It just takes a while to travel.

That's it. You're all caught up. *Go enjoy your coffee.*

Prepared 19:54 UTC · 41 sources from 24 publishers reviewed · 16 developments considered · 8 published · 12 of 12 quality checks passed